(1) Trafigura PTE LTD (2) Trafigura India PTV LTD v (1) Mr Prateek Gupta (2) Mrs Ginni Gupta [2025] DIFC CA 001

SEPTEMBER 22, 2025 COURT OF APPEAL - JUDGMENTS

Claim No. CA 001/2025

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

In the name of His Highness Sheikh Mohammad Bin Rashid Al Maktoum, Ruler of Dubai

IN THE COURT OF APPEAL

BEFORE H.E. CHIEF JUSTICE WAYNE MARTIN, H.E. JUSTICE ROBERT FRENCH AND H.E. JUSTICE SIR PETER GROSS

BETWEEN

(1) TRAFIGURA PTE LTD

(2) TRAFIGURA INDIA PTV LTD

Claimants/Appellants

and

(1) Mr PRATEEK GUPTA

(2) MRS GINNI GUPTA

Defendants/Respondents

Hearing :	2 September 2025
Counsel :	Mr Tom Montagu Smith KC instructed by Stephenson Harwood Midde East for the Appellants. Mr Alistair Webster KC and Mr Faisal Osman instructed by Omar Khalifa Advocates and Legal Consultants and Hilal & Associates and Legal Consultants for the Respondents.

Judgment :	22 September 2025

JUDGMENT OF THE COURT OF APPEAL

UPON the Appellants' Application No. CA-001-2025/1 dated 11 April 2025 for a freezing injunction and related disclosure orders against the Respondents (the "Application")

AND UPON the Judgment and Order of H.E. Deputy Chief Justice Ali Al Madhani dated 17 April 2025 dismissing the Application (the "CFI Judgment" and "CFI Order", respectively)

AND UPON the Appellants' Permission to Appeal Application dated 18 April 2025 to appeal against the CFI Order (the "Permission to Appeal")

AND UPON the Order of H.E. Deputy Chief Justice Ali Al Madhani dated 21 April 2025 granting Permission to Appeal against the CFI Order pursuant to Rule 44.19(2) of the DIFC Courts

AND UPON the Appellants' two Grounds of Appeal dated 18 April 2025 (respectively, the "First Ground of Appeal" and the "Second Ground of Appeal")

AND UPON the Order dated 26 April 2025 and the Judgment dated 13 June 2026 of H.E. Chief Justice Wayne Martin, H.E. Justice Robert French and H.E. Justice Sir Peter Gross

AND UPON hearing Counsel for the Appellants and Counsel for the Respondents in the hearing held on 2 September 2025 before H.E. Chief Justice Wayne Martin, H.E. Justice Robert French and H.E. Justice Sir Peter Gross (the "Hearing")

IT IS HEREBY ORDERED THAT:

1. The Appeal is allowed.

2. The Respondents are to pay the costs of the adjourned appeal hearing on Ground 1, to be assessed by the Registrar if not agreed.

3. The Freezing Orders originally made by the Court on 26 April 2025 are continued, but the matter of their variation to take account of the outcome of this appeal and any necessary fresh undertaking by the Appellants will be remitted to the DIFC Court of First Instance, as will the question of any outstanding costs arising out of the application for a freezing order.

Issued by:

Delvin Sumo

Assistant Registrar

Date of Issue: 22 September 2025

At: 10am

SCHEDULE OF REASONS

Introduction

1. This appeal raises anew the question whether this Court has jurisdiction and power to issue freezing orders in aid of proceedings in a foreign court which may yield a judgment enforceable in the Dubai International Financial Centre ("DIFC") and the Emirate of Dubai. This Court held, in a Judgment issued on 26 November 2024, *Carmon Reestrutura- engenhariaw E Servicos Tecnios Especiais, (SU) LDA v Antonio Jao Catete Lopes Cuenda* [2024] DIFC CA 003 ("Carmon"), that it had such jurisdiction and power. This Court stated at [202] of the decision that:

> "[The DIFC CFI] has power to grant interim remedies under Pt 25 of the RDC, including freezing orders which extend to freezing orders restraining a party from dealing with any assets whether located within the jurisdiction or not – RDC 25.1(6). Further, the Court may grant such a remedy whether or not there has been a claim for a final remedy of that kind – RDC 25.3. Those powers are available to prevent the Court's jurisdiction being thwarted. That includes its jurisdiction to recognise and enforce foreign judgments. That jurisdiction may be thwarted if a party to a foreign proceeding seeks to dissipate its assets in advance of an apprehended judgment which might be susceptible to recognition and enforcement in the DIFC."

2. In that case, the Court looked to Article 5(A)(1)(e) of the DIFC Court Law No 12 of 2004 — the Judicial Authority Law ("JAL") which conferred on the DIFC Court of First Instance ("CFI") exclusive jurisdiction to hear and determine:

> "Any claim or action over which the Courts have jurisdiction in accordance with DIFC Laws and DIFC Regulations."

The term "DIFC Regulations" was defined as "[a]ny rules, regulations, bylaws or orders relating to DIFC issued by the President or by DIFC Bodies". That term included the Rules of Court.

3. Article 7(6) of the JAL provided for the execution within the DIFC of judgments rendered outside the DIFC by any court other than Dubai Courts in accordance with a procedure prescribed in the Rules of the Courts.

4. The Court also referred to provisions of the DIFC Court Law, DIFC Law No. 10 of 2004, including Article 24 which conferred jurisdiction on the CFI to ratify any judgment of any recognised foreign court. The Court pointed to what had been said in *DNB Bank ASA v Gulf Eyadah Corporation and Another* [2015] DIFC CA 007 (*"ĐNB Bank ASA"*) at [97]:

> "By virtue of Article 24(1)(a) of the DIFC Courts Law read with Articles 7(4) to 7(6) of the JAL, the DIFC Courts [have] jurisdiction to hear claims for the recognition and enforcement of foreign judgments."

5. This Court in *Carmon* at [23] said:

> "The ratification of foreign judgments is clearly a head of the statutory jurisdiction of the CFI. That jurisdiction attracts incidental powers. Express powers are set out in Article 32."

6. Reference was made to Article 32, which conferred power on the DIFC Court to make orders and give directions including:

> (b) injunctions, including requiring an act to be done;
>
> (c) interim or interlocutory orders;
>
> (d) orders made without notice to any other party and the circumstances in which such orders are appropriate."

The Court observed at [24]:

> "The breadth of those powers, particularly those conferred by Articles 32(b), (c) and (d) is clearly sufficient to encompass freezing orders, including ex parte freezing orders, in aid of the Court's jurisdiction."

7. Since the *Carmon* decision, the DIFC Courts Law (No. 2) of 2025 ("2025 Court Law") has come into force with effect from 15 March 2025. It has superseded the two laws under which *Carmon* was decided, namely the JAL (No 12 of 2004) and the DIFC Court Law (DIFC Law No. 10 of 2004).

8. In this case, the CFI refused the grant of a UAE-wide freezing order against assets of the Respondents in the UAE on the ground that the Court lacked jurisdiction to entertain an application for such an order and thereby power to make such an order in light of the 2025 Court Law. The procedural history giving rise to this appeal is set out below.

Procedural History

9. On 11 April 2025, the Appellants issued a claim in the CFI against the Respondents seeking a UAE-wide freezing order and ancillary disclosure orders. The freezing order was sought in support of proceedings brought by the Appellants and pending in the High Court of England and Wales ("English Proceedings") against the First Respondent and seven other defendants. The seven other defendants were not defendants to the proceedings in this Court. The First and Second Respondents are husband and wife. The Second Respondent is not a defendant in the English Proceedings. Both Respondents reside in onshore Dubai and not in the DIFC.

10. The English Proceedings involved claims against the First Respondent of deceit, conspiracy, inducing breach of contract and unjust enrichment. The Appellants, in the claim filed in this Court, sought to freeze a maximum sum of USD 650 million.

11. The claim for the freezing order in the CFI was sought on the following grounds:

(a) The Appellants have a good arguable case on the merits of the English claims and for the enforcement of any judgment in those proceedings.

(b) There is reason to believe that assets held by the Second Respondent belong to the First Respondent or will otherwise be amenable to enforcement of any judgment in the English Proceedings.

(c) There is a real risk that unless the Respondents are restrained by injunction, the future judgment in the English Proceedings will be unsatisfied and/or assets will be dealt with in such a way as to make enforcement of any judgment more difficult.

(d) It would be just and convenient to make the order sought.

12. The Claim Form set out the following as the law giving rise to the jurisdiction of the DIFC Courts to entertain the claim for a freezing order and the associated power of the Courts to make such an order:

"Law giving Rise to the Jurisdiction of the DIFC Courts

Jurisdiction under Article 14(A)(7) of the DIFC Court Law 2025, combined with Rule 20.7 and / or 25.24 of the DIFC Court Rules and / or Articles 19, 24 and 31 of the DIFC Court Law 2025.

DIFC Courts' power to grant Interim and Precautionary Measures pursuant to Article 15 of the DIFC Court Law 2025

DIFC Court's [sic] powers to enforce foreign judgments under Article 31(4) of the DIFC Court Law 2025"

13. The remedy sought was:

"A freezing and disclosure order in support of English proceedings."

14. Also on 11 April 2025, the Appellants filed an application under Part 25 of the DIFC Rules dealing with Interim Remedies and Security for Costs. It was an application for a freezing order under RDC 25.1(6) and a disclosure order under RDC 25.1(7). It was supported by affidavit evidence.

15. Both the Claim and the Application were made without notice to the Respondents. RDC 25.8 provides that:

"The Court may grant an interim remedy on an application made without notice if it appears to the Court that there are good reasons for not giving notice."

16. RDC 25.10 provides that:

"If the applicant makes an application without giving notice the evidence in support of the application must state the reasons why notice has not been given."

17. A draft order was filed with the application. It recited, inter alia, that:

"2. This Order was made at a hearing without notice to the Respondents. The Respondents have the right to apply to the Court to vary or discharge this Order …"

18. The Draft Order applied to all the First Respondent's assets in the UAE up to a value of USD 625 million. It also applied to the Second Respondent in respect of certain specified assets. It also sought the provision of information by both Respondents.

Evidence in support of the Application for the Freezing Order

19. Two affidavits were filed in support of the Application. The first was by Mark David Lakin,[1] a Partner in the law firm in London who had conduct of the matter on behalf of the Appellants in conjunction with another partner. It is sufficient to refer to that section of the affidavit which summarised its contents. Mr Lakin deposed that the Appellants are claimants in ongoing proceedings before the English High Court against the First Respondent and other defendants. No claim is advanced against the Second Respondent in the English Proceedings. The English Proceedings were issued on 8 February 2023. Pleadings for those proceedings were included in the Hearing Bundle for the Application in the CFI.

20. The defendants in the English Proceedings comprised corporate bodies and the First Respondent. The claims against them were said to arise from a large scale commodities trading fraud. The Appellants alleged that they had contracted with the corporate defendants to purchase LME-grade nickel. They subsequently discovered that the vast majority of the cargoes supplied by the corporate defendants did not contain nickel at all but rather much less valuable and, in some cases, near worthless materials. The defendants did not deny that they had not supplied nickel to the Appellants and never intended to. A defence advanced by the First Respondent and four other defendants in the English Proceedings was that the parties had agreed to enter into contracts for the sale and purchase of nickel but that in fact the arrangement devised and proposed by the Appellants, acting by then employees, including Sokratis Oikonomou, was to trade in other materials such as nickel alloy. These defendants also relied upon provisions in the General Terms and Conditions of the contracts between the parties to the effect that any discrepancy in the quality of the cargoes was to be raised within 30 days of delivery

21. The Appellants have brought a number of claims against the defendants in the English Proceedings, including an equitable proprietary claim for moneys which they say they paid or credited to certain of the corporate defendants, amounting to USD 536,119,753.15 — referred to as the "Proprietary Funds".

22. At the time of issuing the English Proceedings, the Appellants applied for and obtained a worldwide freezing order from the English Court against the defendants, (including the First Respondent). That order was granted by Mr Justice Foxton on 8 February 2023 and was continued at the on-notice return date hearing before Mr Justice Bright on 24 February 2023. It included a proprietary injunction in respect of certain of what were called the Proprietary Funds. The first five defendants, including the First Respondent, made an unsuccessful application to discharge the Order.

They did not deny in their skeleton argument that there was a good arguable case but asserted that the Appellants had breached their duty of full and frank disclosure in failing to bring to the English Court's attention evidence which suggested that the Appellants were aware that the cargoes would not and did not contain nickel. The evidence and arguments were rejected by Justice Bright on 15 December 2023.

23. On 21 April 2023, the Appellants applied in the English Proceedings for a worldwide freezing order against the Second Respondent on the basis that they had reason to believe that she was holding assets on behalf of the First Respondent which could be available for enforcement if the Appellants were successful at trial. She is a non-cause of action defendant and the application was made based on what is called the Court's 'Chabra jurisdiction' in respect of certain of her assets. An ex parte order was granted initially on 25 April 2023 and continued on 19 May 2023 and thereafter on 6 June 2023.

24. The 'Chabra jurisdiction' is in truth a power in aid of jurisdiction. It was enunciated in *TSB Private Bank International SA v Chabra* [1992] 1 WLR 231. It was there formulated as a power to grant an injunction directed to a party against whom no cause of action lay provided that the injunctive relief would be ancillary and incidental to the relief claimed against another party against whom a cause of action lay.

25. Disclosure orders were made in October 2023.

26. The assets disclosure process was said to have shown that the Respondents have a significant asset base in Dubai, but those assets are likely held in the Second Respondent's name.

The basis of the application to the CFI

27. On the basis of the matters outlined above, the Appellants sought a UAE-wide freezing order against the Respondents in the CFI along with an ancillary disclosure order which they intended to enforce before the onshore Dubai Courts. The relief was said to be in support of the English Proceedings. The Appellants relied in part on the 2025 Court Law and on *Carmon*. An undertaking was offered in support of the application.

28. While the Appellants acknowledge that they had some protection from the English Worldwide Freezing Order and the Chabra Order, that protection was said to be limited given that the Respondents do not live in England. The consequences of a breach of those orders were far less reaching than if the Respondents were based in England. Third parties within England bound by the orders would have no obligation of disclosure to the Appellants. Third parties were also only bound by the orders in so far as they were on notice of them.

29. Third parties outside England, i.e. banks and authorities in Dubai, were obviously not bound by the English Order and so the Appellants could not rely on such parties to assist them with policing the English Order. When they notified Emirates NBD in Dubai of the English Order, the response was that they were not bound by it.

30. The Appellants understood that the onshore Dubai Courts have broader powers to issue directions to key authorities and banks and that these entities were required to comply with and police the relevant orders — including by imposing attachments over assets registered in the jurisdiction (such as bank accounts, vehicles, real estate and shares) and disclosing details of those assets.

31. For the purposes of the Application, the Appellants relied on disclosures provided by the defendants in the English Proceedings and by the Second Respondent, to explain to the CFI why the relief sought was necessary. Those disclosures had been protected by collateral use restrictions in England which would have prevented the Appellants from freely using the information in the DIFC or in Dubai. On 28 March 2025, however, the Appellants applied to the English Court ex parte for permission to use certain documents filed in those proceedings for the purpose of making the application to the CFI as well as any subsequent enforcement application before the Dubai Courts. Documents filed in support of that application were set out in the Hearing Bundle.

32. The collateral use application was granted on 4 April 2025 by Mr Justice Foxton.

33. On the question of jurisdiction, Mr Lakin's affidavit referred to the Carmon decision which, it was said, confirmed that the CFI has jurisdiction to grant interim relief in support of foreign proceedings (pre-judgment) where the final foreign judgment in those proceedings would be enforceable in the DIFC Courts. Any final and binding judgment in the English Proceedings would be enforceable in the CFI and it would be expected to meet the common law requirements for enforcement that the CFI would apply. The First Respondent had not disputed the jurisdiction of the English Court and had filed a defence.[2]

34. Mr Lakin's affidavit acknowledged that some of the provisions of the law upon which the Carmon decision was founded, had been repealed by the 2025 Court Law. He did not expect that to change the legal position. Article (31)4 of the 2025 Court Law was said to uphold the CFI's power to enforce foreign judgments and Article (15)4 was said to provide a new statutory foundation for orders in support of foreign proceedings.[3]

35. The affidavit set out, inter alia, key factors that the Appellants would rely upon in support of their application for a freezing order and, in particular, the proposition that the Appellants had a good arguable case on the merits in the English Proceedings. Facts giving rise to the claim in fraud were summarised at the outset of Mr Lakin's statement and were set out in detail in an affidavit of Mr Oikonomou, which was also before the CFI. That affidavit also set out matters relied upon by the Appellants in relation to the risk of dissipation.

36. As required by the Rules, Mr Lakin set out the reasons that the application was made on an ex parte basis. It was essentially the risk of dissipation if prior notice of the application were given.[4]

37. In accordance with their duty of full disclosure on an ex parte application, the Appellants acknowledged through Mr Lakin's affidavit, that there were some uncertainties arising from the drafting of the 2025 Court Law, which might be said to call into question their entitlement to the interim relief sought. They referred to Article (15)4 and Article (31)4, set out later in these reasons. They

acknowledged that it could be argued that these provisions limited the jurisdiction of DIFC Courts to enforcement over assets which are "within" the DIFC and to injunctive relief requiring action or inaction "within" the DIFC. The Respondents were not known to have any assets in the DIFC — their asset bases being in onshore Dubai. More generally it might be said that in light of the 2025 Court Law, it was no longer possible or appropriate to seek freezing orders in support of foreign proceedings in respect of onshore assets.

38. Mr Lakin went on to contend that the possible interpretation appeared unlikely. There was at least a real prospect of establishing that the Court continued to have the jurisdiction and power to make orders the subject of the application. He pointed out that:

> (1) The Court has repeatedly confirmed its position that, under the previous JAL and the DIFC Court Law, there was no requirement for there to be assets within the DIFC to justify an action for enforcement of a foreign judgment in this Court. Similarly, there had been no requirement for such assets to justify the grant of interim relief.
>
> (2) Article 7(6) of the JAL was also expressed in terms of enforcement "within the DIFC". Despite this, it was found to be a source of jurisdiction for the enforcement of foreign judgments generally in the DIFC Courts, regardless of the presence of assets.

39. The other evidence in support of the Application was an affidavit of Sokratis Oikonomou who until 23 January 2023 was the Head of Nickel and Cobalt Trading for Trafigura Group Pte Ltd. He described the Appellants as subsidiaries of the Group. The first of the Appellants, Trafigura Pte Ltd, was the main trading entity within the Group. He referred to the history of the proceedings in the English Courts. His affidavit exhibited a bundle of documents which he said he referred to "in this affidavit". Having regard to the primary judge's acceptance of the substantive merits of the application, apart from the jurisdictional question, it is not necessary to refer to that affidavit and its annexures in any detail.

The Statutory framework applicable at the time of the freezing order application

DIFC Courts Law No (2) of 2025 — the 2025 Court Law

40. This law, which is a law of the Emirate of Dubai, took effect from 15 March 2025. It superseded existing laws as set out in Article (43):

> **"Supercession and Repeals**
>
> **Article (43)**
>
> A. This Law shall supersede DIFC Law No. (10) of 2004, and Dubai Law No. (12) of 2004.
>
> B. Any provision in any other legislation shall, to the extent that it contradicts the provisions of this Law, be repealed.
>
> C. The regulations and resolutions issued by DIFC Law No. (10) of 2004 and Dubai Law No. (12) of 2004 shall, to the extent that they do not contradict with the provisions of this Law, continue to be in force until new superseding resolutions and regulations are issued."

41. The Law contained a number of definitions, set out in Article (2), which included the following:

DIFC Courts	The DIFC Courts including the Court of Appeal, the Courts of First Instance, and the Small Claims Tribunal.
Dubai Courts	The Dubai Courts regulated under Law No. (6) of 2005 and Law No. (13) of 2016, referred to hereinabove.
Claim	Claims or applications relating to rights or liabilities.
Enforcement Judge	The Judge assigned to perform enforcement functions in accordance with the provisions of this Law.
DIFC Laws	Any laws issued by the Ruler concerning the DIFC.
DIFC Regulations	Any rules, regulations, bylaws, or orders relating to the DIFC issued by the President or by the DIFC Bodies.
Rules of the Courts (RDC)	The rules regulating litigation procedure before the DIFC Courts, as issued by the President.
Foreign Judgments	Any judgment or decision of a foreign court.

The definitions of DIFC Laws, DIFC Regulations, and Rules of the Courts were substantially the same as the definitions in the superseded Judicial Authority Law No (12) of 2004.

42. Under Article (3), the provisions of the Law apply to the DIFC Courts established under the JAL.

43. Article (5) provides:

> "The affairs of the judicial and administrative bodies of the DIFC Courts shall be regulated, and their functions determined, pursuant to this Law, DIFC Laws, and DIFC Regulations. The DIFC Courts shall exercise their duties and functions independently in accordance with the provisions of this Law, DIFC Laws, DIFC Regulations and Rules of the Courts."

44. Article (7) specifies English as the official language of the DIFC Courts.

45. Article (8) deals with DIFC Court proceedings, Article (9) with judgments of the DIFC Courts, Article (10) with the appointment and functions of the Chief Justice, Article (11) with the appointments and functions of the Director and Article (12) with DIFC Courts Registries. Article (13) deals with the establishment of the Mediation Centre.

46. Article (14) deals with jurisdiction of the DIFC Courts and relevant to this appeal provides:

> **"Article (14)**
>
> D. The DIFC Courts have exclusive jurisdiction to hear and determine:
>
> …

7. Claims and applications over which the DIFC Courts have jurisdiction under the DIFC Laws, DIFC Regulations, and the legislation in force in the Emirate, as well as any international treaty and convention to which the State has acceded or is a party to."

47. It may be noted that Articles (14)A 2, 3, 5 and 6 define various heads of jurisdiction using the term "within the DIFC". That term covers contracts to be performed wholly or partly within the DIFC, employment claims arising out of activities wholly or partly within the DIFC, and arbitral proceedings taking place within the DIFC.

48. Article (15) deals with 'interim' and 'precautionary' measures:

"Article (15)

The DIFC Courts have jurisdiction to hear and determine applications for interim or precautionary measures related to the following:

(1) Claims and applications that fall within the jurisdiction of the DIFC Courts.

(2) A claim for the disclosure of the true identity of a defendant or a potential defendant, against whom a claim may be brought before the DIFC Courts.

(3) A claim for the disclosure of funds or assets owned by the defendant or applicant in applications and claims that fall within the jurisdiction of the DIFC Courts.

(4) Applications, claims, or current or future arbitral proceedings brought outside the DIFC seeking suitable precautionary measures within the DIFC."

49. A particular focus of the Respondents' argument was the use of the word 'seeking' in Article (15)4. It was contended and not in dispute, that a correct translation from the Arabic text of the law would use the words 'providing that' rather than the word 'seeking'. The significance of this difference in the arguments put by the Parties, is discussed later in these reasons.

50. Article (19) relating to the 'Composition and Jurisdiction of the Courts of First Instance' provides:

"Article (19)

…

B. Subject to the DIFC Courts' jurisdiction as provided for in Article (14) of this Law, the Courts of First Instance shall have jurisdiction to hear and determine:

…

3. Applications for an injunction order restraining a person from engaging in conduct or requiring a person to carry out a certain act or action, and any other order the Court considers appropriate."

51. The powers of the DIFC Courts are set out in Article (24). They include the following in Articles (24) and (25):

"Powers of the DIFC Courts

Article (24)

…

C. The DIFC Courts has power to issue any interim orders it considers just or appropriate including restitution, disgorgement, compensation, damages, or damages in substitution for an injunction; or award any other form of compensation set out in the DIFC Laws and DIFC Regulations.

D. The DIFC Courts has the power to make orders as to the conduct of any proceedings before the Court that it considers appropriate, including but not limited to:

…

(2) injunctions, including orders to perform an act;

(3) interim or interlocutory orders as stipulated in the DIFC Laws;

(4) orders made without notice to any other party, where required under the circumstances;"

"Litigation Procedures, Evidence, Interim Measures, and Enforcement

Article (25)

The procedures of litigation, evidence, interim and precautionary measures and enforcement of judgements shall be determined in accordance with the DIFC Laws, the DIFC Regulations, and the Rues of the Courts."

52. Article (29) provides for enforcement of judgment decisions or orders to be carried out under the supervision of an 'Enforcement Judge' appointed from among the DIFC Courts' Judges based on an order issued by the Chief Justice. Article (30) provides for enforcement writs, which are defined to include:

"Enforcement Writ

Article (30)

…

B. "Enforcement Writ" shall include the following:

1. Judgements, Decisions or Orders issued by the DIFC Courts;"

53. Article (31) then sets out the jurisdiction of the Enforcement Judge inside and outside of the DIFC. Relevantly, Article (31) provides:

"Jurisdiction of Enforcement Judge Inside and outside of the DIFC

Article (31)

Subject to Article (29) of this Law, the Enforcement Judge shall have jurisdiction over:

…

4. The enforcement of judgements and judicial decisions affixed with the executory formula issued by local or foreign courts, including the Dubai Courts, as well as interim and precautionary orders and decisions issued by local or foreign courts, including the Dubai Courts, and arbitral tribunals, inside the DIFC, and in accordance with the Rules of the Courts."

54. Article (32) deals with enforcement by the Dubai Courts in the following terms:

"A. The Enforcement Judge shall seek the assistance of the Dubai Courts' Enforcement Judge to enforce Writs of Enforcement issued by the DIFC Courts, where the object of enforcement is situated outside of DIFC. Such enforcement shall be subject to the following conditions.

1. the judgment, order, or decision issued by the DIFC Courts to be enforced shall be final and executory."

It is not necessary for present purposes to refer to the other conditions:

"B. The Civil Code applied in the Dubai Courts shall be applicable to the enforcement of the DIFC Courts' judgments, orders, and decisions under this Article. However, the Enforcement Judge in Dubai Courts may not review the merits of the case, except as stipulated in this Law in regards to enforcement procedures, and without prejudice to the origin of the right adjudged.

C. The Dubai Courts' Enforcement Judge who carries out the enforcement in accordance with this Article shall inform the DIFC Courts' Enforcement Judge of the actions taken with regards to the enforcement proceedings and he shall transfer any funds received, and in the event that the Dubai Courts' Enforcement Judge determines that there are legal reasons preventing him from enforcing the Writ, he shall inform the DIFC Courts' Enforcement Judge of his decision."

55. Article (33) provides that:

"The provisions of Articles (30), (31), and (32) of this Law shall not prejudice the application of any international treaties and conventions to which the State is a signatory or acceding party relating to enforcement of foreign courts judgements, decisions, and awards."

Relevant Rules of Court

56. Rule 20.7 of the DIFC Court Rules provides:

"The Court may order a person to be added as a new party if:

…

(2) there is an issue involving the new party and an existing party which is connected to the matters in dispute in the proceedings, and it is desirable to add the new party so that the Court can resolve that issue."

This was said in *Nest Investment Holding Lebanon S.A.L. & Ors v Deloitte & Touche (M.E.) & Anor* [2018] CA 011 to be capable of conferring jurisdiction.[5]

57. Part 25 of the DIFC Court Rules includes provisions relating to interim remedies which were mentioned in argument:

> **"25.1**
>
> The Court may grant the following interim remedies:
>
> …
>
> (6) an order (referred to as a 'freezing order'):
>
> (a) restraining a party from removing from the jurisdiction assets located there; or
>
> (b) restraining a party from dealing with any assets whether located within the jurisdiction or not.
>
> …
>
> **25.3**
>
> The Court may grant an interim remedy whether or not there has been a claim for a final remedy of that kind."

The reasons for dismissal of the Application in the CFI

58. The Appellants' ex parte urgent application for a UAE-wide freezing order came before H.E. Deputy Chief Justice Ali Al Madhani on 16 April 2025. On 17 April 2025, the following Order was issued:

> "(1) The Application is rejected.
>
> (2) There shall be no order as to costs."

59. In the Schedule of Reasons, His Excellency accepted that the Appellants had made out a good arguable case including sufficient urgency to warrant the granting of an order, because of the high risk of dissipation of the relevant assets. It was on the question of jurisdiction that the application foundered.

60. His Excellency observed that the introduction of Law No (2) of 2025 Concerning the Dubai International Financial Centre Courts, which he called the "New Law", raised the very important question about the jurisdiction of the Court to grant such relief over assets outside its immediate jurisdictional boundaries. The relevant Articles of the 2025 Court Law on jurisdiction were said to be central.

61. The way in which the application was pleaded made it unclear whether it was a "fresh claim" for interim relief or an enforcement of existing orders from English Courts. The distinction was said to be important as different DIFC Laws would be engaged depending on the intention behind the

application. Counsel for the Appellants elected to invoke both possible gateways.

62. His Excellency first considered the question of jurisdiction on the basis that the application was for a “fresh claim” seeking a new DIFC Order against the Respondents that mirrored existing orders from the English Courts.

63. In order to succeed as a fresh claim, the application had to pass through a jurisdictional gateway. These had previously been found in Article 5(A) of the JAL (Dubai Law No 12 of 2004). That required that a claim must involve a party or event in the DIFC or that the parties had consented to the jurisdiction of the DIFC. These gateways did not apply as the Appellants were foreign parties seeking an order against assets that had not been shown to be within the DIFC or part of any DIFC entity. Moreover, the Respondents resided outside the DIFC.

64. Jurisdictional gateways set out in the 2025 Court Law at Article (14), were relevant to new claims initiated in the DIFC Courts. Exclusive jurisdiction was given to those courts in the event that the claim involved a DIFC entity, contract, incident, transaction, arbitral claim, or enforcement of an arbitral award or claims under an international treaty or convention to which the UAE had acceded. This was said to be similar to Article 5(A) of the old law but not identical.

65. On the fresh claims scenario, the order sought from the DIFC Courts was in addition to the orders obtained from the English Courts. It was not a straight forward enforcement of those orders. Article (14)A 7 did not apply as no international treaty or convention had been engaged. The gateways set out in Articles (14)1 to 6 did not apply as it was explicitly and repeatedly stated that a direct link to the DIFC — whether through a DIFC contract, DIFC body or establishment or by consent or otherwise, had to be established. The Respondents were located outside the DIFC and no direct asset link had been made to the DIFC for the purposes of the relief sought. As a fresh claim, the application failed for lack of jurisdiction. The Appellants had failed to establish any of the gateways in Article (14).

66. His Excellency then considered the application on the assumption that it sought enforcement of existing orders from the English Court. In that case Article (31) of the 2025 Court Law would be engaged.

67. He referred to comparisons made at the hearing between the previous statute on jurisdiction and the 2025 Court Law and references to the decision of this Court in Carmon. He referred to Articles 5(A), 7(6) and 24 of the superseded JAL and compared them with Articles (31)2 and 4 of the 2025 Court Law. Counsel had submitted to him that the 2025 Court Law expressly granted the DIFC Courts jurisdiction to enforce foreign judgments and to hear applications for interim or precautionary measures and that it was improbable that the DIFC Courts’ powers were now limited to assets inside the DIFC

68. In His Excellency’s judgment, Article (31)2 of the 2025 Court Law did not apply to the application in the way that the JAL would have. The phrase “in the event that the enforcement shall fall into any of the DIFC bodies, DIFC establishments, licensed DIFC establishment, or any other entity within the DIFC” was said to create a requirement of a direct link between the foreign judgment and the DIFC in

order for the DIFC Courts to have jurisdiction to enforce it. The Respondents did not have any direct link to any entity within the DIFC, nor did the relief sought. Nor did the English Orders list any asset or financial accounts that might be found within the DIFC. For the foreign judgment to be enforced it was said it must be against an entity within the DIFC.

69. His Excellency said:

> "26. Article 31 of the New Law introduces a new administration of enforcement that requires an asset, or something akin to an asset, to exist within the DIFC at the time of enforcement. This is distinct from the Old Law on enforcement that allows for the DIFC to be used as a conduit jurisdiction. Case law based on the Old Law should therefore not be applied to this case or any new enforcement regime.
>
> 27. Articles 14 and 31 of the New Law plainly require a direct link to the DIFC to be established for the Court to hear a fresh claim or enforce a foreign judgment. Whether this application seeks a new order or enforcement of the existing WFO/Chabra Order, the DIFC Court does not have jurisdiction to grant relief as there is no direct link to the DIFC to do so."

70. His Excellency did not refer to Article (15) of the 2025 Court Law and, in particular, Article (15)4.

The grant of permission to appeal

71. The Appellants filed an Appeal Notice on 18 April 2025 seeking permission from His Excellency to appeal his Order of 17 April 2025. On 21 April 2025, His Excellency made the following orders:

> "1. The Permission Application is granted on the ground that the Claimants have demonstrated that there is a compelling reason as to why the appeal should be heard.
>
> 2. The costs of the Permission Application shall be costs in the appeal."

72. There were two grounds of appeal advanced. The first was that His Excellency had erred in finding that the CFI lacked jurisdiction. The second was that the existence of jurisdiction was reasonably arguable. His Excellency referred to RDC 44.19 governing applications for permission to appeal.

73. It is not necessary to canvass His Excellency's reasons in detail, save to observe that he concluded that a compelling issue had been raised regarding the correct interpretation of the 2025 Court Law, its application to the enforcement of foreign orders and the institution of "fresh claims" based on foreign orders where there may not be a direct link to the DIFC. His Excellency observed that:

> "15. … Under the old law, the decision is clear; the ex parte application would have succeeded as it met the general requirements for the orders sought, as expressed at paragraph 10 of the Order, and jurisdiction would have been assumed pursuant to the JAL. Under the New Law, the jurisdiction of the DIFC Courts to do so remains unclear. Hence, a compelling public policy reason is raised to send the issue to the Court of Appeal for determination."

74. His Excellency agreed that the issue should be dealt with urgently because of the risk of asset dissipation in the event that the Court was competent to grant the orders sought. He also agreed that the matter should be kept private for the same reasons.

Proceedings before this Court

75. This appeal first came before the Court at an ex parte hearing on 25 April 2025 pursuant to a Permission to Appeal granted by the Deputy Chief Justice, His Excellency Ali Al Madhani, on 21 April 2025.

76. There were two grounds of appeal. The first was that His Excellency had erred in finding that the CFI lacked jurisdiction. The second was that the existence of jurisdiction was reasonably arguable warranting the grant of the relief sought.

77. As the first appeal hearing was heard ex parte, this Court would not, in the absence of the Respondents make a final decision on jurisdiction — the question raised by the first ground. It was sufficient to say that the existence of the jurisdiction and of the powers to grant the interim orders sought, was strongly arguable. The CFI Order refusing the grant of the interim relief was set aside. This Court made an order reflecting the freezing ancillary orders sought by the Appellants. That order was made in the exercise of the power of this Court to substitute its own order for the dismissal of the application for interim relief. The appeal was otherwise adjourned, as to the first ground, and directions given to allow the Respondents, if they so wished, to dispute jurisdiction in this Court by argument on the second ground. In the meantime, the Court made an order reflecting the Ex Parte Freezing Order and ancillary orders sought by the Appellants. It was made in the exercise of the power of this Court to substitute that order for the dismissal of the application for interim relief in the CFI. It was supported by an undertaking from the Appellants.

78. The costs of the appeal on the first ground were reserved.

79. The Respondents filed written submissions to which the Appellants have replied and supplementary written submissions. Both parties put oral arguments to the Court at the adjourned hearing on 2 September 2025.

Evidence of translation

80. Before turning to the Parties' submissions, it is necessary to refer to evidence adduced by both sides on the correct translation of Article (15)4 of the 2025 Court Law (Dubai Law No. (2) of 2025). This, it will be recalled, confers jurisdiction in the following terms:

> "The DIFC Courts have jurisdiction to hear and determine applications for interim or precautionary measures related to the following:
>
> …
>
> 4. Applications, claims or current or future arbitral proceedings brought outside the DIFC seeking suitable precautionary measures within the DIFC."

81. The Respondents made reference to the express acknowledgement in the English version of the 2025 Court Law that "for the purpose of its interpretation and application, reference must be made to the original Arabic text" and that "in case of conflict the Arabic text will prevail".

82. The original Arabic text was set out in the Respondents' written submissions. They relied upon a witness statement of Osama Daneshyar of OBH Lawyers. Mr Daneshyar is a partner in the law firm acting for the Respondents. His statement was offered in support of the Respondents' case in relation to the correct translation of Article (15) of the 2025 Court Law. Mr Daneshyar says he is a fluent speaker, reader and writer of the Arabic language which is his mother tongue. He appears to have offered himself as an expert interpreter, referring, among other things, to advice he had provided to foreign legal professionals on how applicable laws should be interpreted from original Arabic text.

83. It is apparent that Mr Daneshyar, being a partner in the law firm acting for the Respondents, was not presenting as an independent expert witness. It is not apparent on what basis his personal opinion evidence of the correct translation could be admissible. In the event this does not matter as there was no objection and no substantive challenge to the translation which he proffered and which was supported by translations undertaken by Ministry of Justice certified translators.

84. The Appellants proffered a witness statement of Taher Abdeen Ibrahim, a partner in a law firm Hadef & Partners LLC, which acts for the Appellants. The statement concerned the correct translation of Article (15)4. Upon a review of the Arabic text and the English translation of the law, Mr Ibrahim read Article (15)4 in a way that accorded with the translation provided by Mr Daneshyar:

> "4. Applications, claims or current or future arbitral proceedings brought outside the DIFC provided that the suitable precautionary measures are taken within the DIFC."[6]

85. This translation was supported by translations prepared by DTA Translation Services and MSK Legal Translation. These are both Ministry of Justice certified translators based in Dubai.

86. Two of the translations exhibited to Mr Daneshyar's witness statement, namely those provided by Unique Legal Translation and Petra Legal Translations, reflected Mr Ibrahim's translation.

87. On this basis the Appellants accepted that an appropriate English translation of Article (15)4 would read as follows:

> "The DIFC Courts have jurisdiction to hear and determine applications for interim or precautionary measures related to the following:
>
> …
>
> 4. Applications, claims or current or future arbitral proceedings brought outside the DIFC provided that the suitable precautionary measures are taken within the DIFC."[7]

The superseded laws

88. Reference should be made to the superseded laws, which underpinned the decision in *Carmon* and from which, on the Respondents' contentions, there has been a significant narrowing of the jurisdiction and power of the DIFC Courts in relation to freezing orders in support of foreign proceedings.

Judicial Authority Law No. (12) of 2004 – superseded by DIFC Courts Law No. (2) of 2025

89. Article 5 of the JAL dealt with jurisdiction and relevantly provided in Article 5(A)(1)(e):

> **"A. The Court of First Instance:**
>
> (1) The Court of First Instance shall have exclusive jurisdiction to hear and determine
>
> …
>
> (a) Any claim or action over which the Courts have jurisdiction in accordance with DIFC Laws and DIFC Regulations."

90. Article 5(D) provided:

> **"DIFC Execution Judge**
>
> The Chief Justice of the Courts shall assign one or more of the Courts' judges as execution judge(s)."

91. Article 7 dealt with 'Execution' and relevantly provided:

> "(1) The execution judge assigned pursuant to Paragraph (D) of Article (5) of this Law shall have jurisdiction over execution of the judgments, decisions and orders rendered by the Courts and the Arbitral Awards ratified by the Courts if the subject matter of execution is situated within DIFC, and such execution shall be in accordance with the Rules of the Courts."

92. Article 7(6) provided:

> "The judgments, decisions, orders and ratified Arbitral Awards rendered outside DIFC by any court other than Dubai Courts shall be executed within DIFC in accordance with the procedure prescribed in the Rules of Court."

DIFC Court Law DIFC Law No. 10 of 2004 – superseded by DIFC Courts Law No. (2) of 2025

93. DIFC Court Law DIFC Law No. 10 of 2004 ("Court Law"), as it stood prior to March 2025, dealt with the jurisdiction of the CFI and the Court of Appeal of the DIFC established by the JAL. Article 19(1) of the Court Law dealt with the jurisdiction of the CFI and relevantly provided:

> **"19. Jurisdiction**
>
> (1) The DIFC Court of First Instance has original jurisdiction pursuant to Article 5(A) of the Judicial Authority Law to hear any of the following:
>
> …

(d) any application over which the DIFC Court has jurisdiction in accordance with DIFC Laws and Regulations."

94. Article 20 dealt with the making of orders and the issuing of writs:

"20. Making of Orders and issuing of Writs

(1) The Court of First Instance has the power, in matters over which it has jurisdiction to make any orders, including interlocutory orders, and to issue or direct the issue of any writs it considers appropriate."

Article 24 dealt with 'Ratification of Judgments':

"24. Ratification of Judgments

(1) Pursuant to Article 7(4) of the Judicial Authority Law, the Court of First Instance has jurisdiction to ratify any judgment, order or award of any recognised:

(a) Foreign court;

(b) Courts of Dubai or the United Arab Emirates;

(c) Arbitral Award;

(d) Foreign Arbitral Award; or

(e) orders for the purposes of any subsequent application for enforcement in the courts of Dubai.

(2) Where the UAE has entered into an applicable treaty for the mutual enforcement of judgments, orders or awards, the Court of First Instance shall comply with the terms of such treaty."

95. The reference to Article 7(4) of the JAL in Article 24 of the Court Law was a mistake. It was plainly intended to be a reference to Article 7(6) of the JAL.

96. By virtue of Article 24(1)(a) of the Court Law, read with Article 7(4) to 7(6) of the JAL, the DIFC Courts had jurisdiction to hear claims for the recognition and enforcement of foreign judgments: *DNB Bank ASA v Gulf Eyadah Corporation and Another* at [97].

97. As this Court observed in *Carmon* at [23]:

"The ratification of foreign judgments is clearly a head of the statutory jurisdiction of the CFI. That jurisdiction attracts incidental powers. Express powers are set out in Article 32."

98. Article 32 was as follows:

"32. Powers

The DIFC Court has the power to make orders and give directions as to the conduct of any proceedings before the DIFC Court that it considers appropriate, including:

…

(c) interim or interlocutory orders;

(d) orders made without notice to any other party and the circumstances in which such orders are appropriate."

The Court observed in Carmon (at [24]) that the breadth of the powers conferred by Article 32 was clearly sufficient to encompass freezing orders including ex parte freezing orders in aid of the Court's jurisdiction.

The Respondents' Submissions

99. It is convenient first to refer to the Respondents' submissions challenging jurisdiction as set out in their Supplementary Skeleton Argument.

100. The Supplementary Skeleton Argument placed the focus of the Respondents' contentions on the language of Article (15)4. They stated in paragraph 1 of their submission that:

> "This appeal turns on the interpretation of a single phrase in Article (15)4: "suitable precautionary measures are taken within the DIFC". That interpretation determines whether this Court can grant freezing orders over Dubai assets that Dubai Courts have refused to freeze—a question with profound constitutional and jurisdictional implications."

101. They characterised the competing interpretations thus:

(1) For the Appellants — filing an application with the DIFC Courts equated to measures "within the DIFC".

(2) For the Respondents — the measures must be capable of operating on assets, entities or interests within DIFC territory. It may be noted that the propounded requirement for there to be assets within the DIFC territory was not pressed.

(3) On the Respondents' case, the Appellants' interpretation would permit anyone to invoke DIFC jurisdiction over any Dubai matter simply by filing an application which would:

(i) render the conditional language in Article (15)4 "provided that" (ala an yatim) meaningless;

(ii) enable DIFC Courts to override the Dubai Courts' determinations;

(iii) create an enforcement paradox that destroys judicial coherence.

(4) The correct interpretation requiring a territorial connection was said to give meaning to the conditional language and to respect constitutional boundaries between courts operating within Dubai and maintained systematic coherence within Dubai's judicial framework.

102. The Respondents pointed to what they called the 'hybrid legal context'. The DIFC Courts were said to operate at a unique intersection, being common law courts interpreting civil law legislation under a constitutional framework. Two overarching points were made:

(1) The DIFC's special status.

(2) The territorial confinement of the DIFC's jurisdiction.

103. On the DIFC's special status, the Respondents contended that the DIFC was established as an independent jurisdiction with its own legal framework, designed to operate as an international financial centre with common law principles. That special status operated within, but not outside, Dubai's constitutional architecture. The Court was said to have no inherent powers. Its powers were circumscribed by its founding law

104. The DIFC is a geographical and jurisdictional zone within Dubai under the Ruler's constitutional authority to allocate jurisdictions. Special status cannot be equated to unlimited reach. It means defined authority within allocated boundaries.

105. The Respondents then addressed what they categorised as the civil law and common law traditions informing statutory interpretation.

106. In particular, it was submitted that under civil law methodology each textual element of a statute has distinct juridical significance. The conditional operator 'ala an yatim' —provided that — could not be treated as decorative language. It must be seen as imposing substantive requirements. The same was true of the territorial delimiter 'Dakhil al-Markaz' — within the DIFC. The Respondents referred to the purposive construction required at common law which, in this case, would mean reading Article (15)4 in light of what the 2025 Court Law seeks to achieve — defining jurisdictional boundaries while enabling international cooperation where a genuine connection exists. Constitutional contexts were said to serve as an interpretive framework even when not explicitly stated.

107. Judicial precedent was also said to provide interpretive guidance. In this context reference was made to Commercial Challenge No. 1467/2024, a decision of the Dubai Court of Cassation, delivered on 6 February 2025.

The Appellants' Reply Submissions

108. The Appellants' position on jurisdiction in reply to the Respondents was summarised in five propositions:

(1) Article (15)4 of the 2025 Court Law is materially the same as the formerly applicable provisions of DIFC law.

(2) Under the materially same former law, the DIFC Courts held that enforcement of foreign court judgments would be permitted whether or not the respondents' assets were within the DIFC.

(3) The Respondents relied upon an over-engineered and flawed textual analysis of Article (15)4. The Respondents admitted that the operative words in Article (15)4 "within the DIFC" also appear in the relevant provisions of the old laws. Their submission that jurisdiction is only available "provided that appropriate precautionary measures are taken within the DIFC" does not presuppose that relevant assets should be located within the DIFC.

(4) The Respondents failed properly to explain why the 2025 Court Law would mark such a fundamental departure from the DIFC Court's jurisdiction in circumstances where the text of the 2025 Court Law was materially the same as the text of the old law on which such jurisdiction had been established.

(5) From a policy perspective, it would be a surprising development for such a fundamental change to be introduced in the absence of any clear direction or clear statutory wording.

109. The Appellants contended that under the former legislation jurisdiction to grant injunctive relief in aid of foreign proceedings and to enforce foreign judgments was found in: (i) the combination of Article 5(A)(1)(e) of the JAL (Dubai Law No. 12 of 2004) and Article 24 of the DIFC Court Law 2024 (DIFC Law No. 10 of 2004) and (ii) Article 7(6) of the JAL. It was said to be common ground that pursuant to those provisions of the JAL and the DIFC Court Law, the DIFC Court did have jurisdiction without the requirement for a territorial or asset connection.[8]

110. It was obvious that Article (14)A of the 2025 Court Law was intended to replace Article 5(A) of the JAL on materially similar terms and that Article (14)A conferred more extensive jurisdiction.

111. Comparing Article 7(6) of the JAL with Article (15)4 of the 2025 Court Law, there is very little difference between the operative words even assuming the correctness of the Respondents' translation.[9]

112. The words "within the DIFC" were common to both Article 7(6) and Article (15)4. However, the former did not impose any requirement that the subject matter of execution should be in the DIFC — *DNB Bank ASA* at [125] was cited.

113. The Appellants submitted that properly construed, Article (15)4 of the 2025 Court Law simply put on a statutory footing the DIFC Court of Appeal's decision in *Carmon* that the DIFC Courts have pre-emptive jurisdiction to grant interim relief in support of foreign proceedings so that enforcement steps could be taken against relevant assets in due course.

114. There was no distinction to be made between the 2025 Court Law and the old law in relation to enforcement provisions.

115. Further the Respondents' submissions focussed only on the text of Article (15)4 dealing with precautionary measures and said nothing about Article (31)4 which confers substantive jurisdiction to enforce foreign judgments.

116. The presence of assets within the DIFC was said not to be a condition stated under any provision of the superseded JAL and DIFC Court Law. *Meydan Group LC v Banyan Tree Corporation Pte Ltd* CA-005-2014 (3 November 2014) at [33] was cited as well as DNB Bank ASA at [125]. There were examples noted in *DNB Bank ASA* of foreign arbitral awards enforced in the DIFC Courts and executed against assets outside the DIFC. Chief Justice Martin's statement in *Lateef v Liela* [2020] ARB 021 (13 December 2021) that the jurisdiction of the Court with respect to the enforcement of

foreign judgments did not depend on the existence of assets within the DIFC was quoted. *Carmon* was also referred to again at [167]. There was no asset requirement under the 2025 Court Law nor a requirement for any other territorial nexus to the DIFC

117. The fact that enforcement of a foreign judgment "inside the DIFC" did not require assets in the DIFC was said to be significant to the textual analysis. The 2025 Court Law, it was said, must be taken as referring to the use of the DIFC Courts' enforcement processes. Mechanisms quoted included Part 50 examinations, which extend to questioning directors and debtors outside the DIFC, ordering a party situated outside the DIFC to pay money, and ordering a debtor or director outside the DIFC to attend for cross-examination. These would be examples of enforcement "inside the DIFC" because they are measures sought from the DIFC Court itself and orders made within the DIFC.

118. As to the Arabic words 'ala an yatim' in the Arabic version of Article (15)4 relied upon by the Respondents, the Appellants contended that it would be surprising if the Ruler had drastically limited the Court's jurisdiction by deploying just three words in a single Article, without any express reference to that limitation.

119. The three Arabic words translate in English to mean "provided that". There were said to be three obvious flaws with the Respondents' analysis.

120. The words of genuine significance in Article (15)4 are "within the DIFC". A freezing order issued by the DIFC Court as a precautionary measure "within the DIFC" would satisfy the DIFC requirement of Article (15)4 regardless of whether the jurisdiction arises "provided that" the condition is satisfied or merely when the condition is satisfied. Article 7(6) under the JAL had contained the same words.

121. The attempt by the Respondents to distinguish Article 7(6) by arguing that it used instructive language ("shall be executed within DIFC") rather than "conditional language" was said to misconstrue the point of that provision and the effect of the words used. It presupposed that judgments, ratified arbitral awards etc, had already been obtained. Its relevance was to set out what a claimant can do to execute a judgment or award once it has been obtained. The word 'shall' mandates that if a claimant decides to execute its foreign judgment within the DIFC it shall do so in accordance with the Rules of Court.

122. Even if 'shall' was not considered mandatory, there was no distinction between Article 7(6) of the JAL and Article (15)4 of the 2025 Court Law. The Court had jurisdiction under the old law when, and only when, enforcement was sought in the DIFC. This included jurisdiction to grant freezing orders. In those circumstances the freezing order was sought and obtained "within the DIFC". The condition in Article (15)4 would be satisfied regardless of the precise language preceding that requirement.

123. Further, there was no reference at all to a required nexus between the Respondents or their assets and the DIFC.

124. The reference to suitable precautionary measures taken within the DIFC was said to be a reference to steps taken by a claimant in making the application itself. The Appellants had taken suitable precautionary measures within the DIFC by making the injunction application in the first place.

There was no basis for reading into the 'suitable precautionary measures' a separate requirement that assets exist within the DIFC or that there was some other nexus.

125. As to public policy, the Respondents' approach was said to be inconsistent with the underlying purpose of the DIFC as set out by the Ruler of Dubai in Law No. 5 of 2021. A determination that the DIFC Courts lacked jurisdiction would amount to a dramatic restriction in the Courts' powers which would stifle the stated aims of the establishment of the DIFC.

126. The Appellants were entitled to seek appropriate injunctive and ancillary relief in the DIFC Courts because they had an independent purpose, including the provision of asset disclosure and the fact that relevant assets could come within the DIFC Court's jurisdiction.[10]

Consideration and Conclusion

127. The jurisdiction of the DIFC Courts to enforce judgments of foreign courts derives from Article (31)4 of the 2025 Court Law. That jurisdiction is not in dispute. What is in issue and characterised as a question of jurisdiction, is whether the Court may issue a freezing order against a defendant in foreign proceedings which may yield a judgment, decision or orders enforceable in the UAE.

128. A freezing order of the kind sought by the Appellants does not require a separate head of jurisdiction if sought in aid of an enforcement jurisdiction which may be enlivened by the award of judgment in a foreign court whose judgments are recognised and enforced in the DIFC.

129. This Court observed in *Carmon* at [156]:

> "The expansive powers of the DIFC CFI to award interim remedies include cases in which the remedy is sought in relation to proceedings which "… will take place outside the DIFC" – see RDC 25.24(1). That consideration coupled with the express jurisdiction and associated powers to enforce foreign judgments, suggests that the Court has the jurisdiction and powers to ensure that that express jurisdiction is effective."

130. After reviewing relevant case law the Court in *Carmon* observed of the CFI at [202] that:

> "It has power to grant interim remedies under Pt 25 of the RDC, including freezing orders which extend to freezing orders restraining a party from dealing with any assets whether located within the jurisdiction or not – RDC 25.1(6). Further, the Court may grant such a remedy whether or not there has been a claim for a final remedy of that kind – RDC 25.3. Those powers are available to prevent the Court's jurisdiction being thwarted. That includes its jurisdiction to recognise and enforce foreign judgments. That jurisdiction may be thwarted if a party to a foreign proceeding seeks to dissipate its assets in advance of an apprehended judgment which might be susceptible to recognition and enforcement in the DIFC."

131. Nothing in the 2025 Court Law affects the correctness of that proposition.

132. In any event, Article (15)4 read with the opening words of Article (15) expressly confers the jurisdiction which authorises the exercise of the measures referred to in Article (15)4. That conferral of itself provides a complete answer to the Respondents' challenge to jurisdiction.

133. The jurisdiction is defined by reference to categories of interim or precautionary measures, being measures "related to the following …" and including, in Article (15)4:

> "Applications, claims or current or future arbitral proceedings brought outside the DIFC seeking (**or "providing that"**) suitable precautionary measures (**are taken**) within the DIFC."

134. Plainly, Article (15)4 will cover applications brought in the DIFC Courts which are related to proceedings "outside the DIFC" — a term covering proceedings in foreign courts. Whatever the full scope of the jurisdiction, it encompasses interim measures taken out in the DIFC in aid of proceedings which could yield a judgment recognised and enforced in the DIFC. This includes interim measures such as freezing orders which would prevent the enforcement procedures of the DIFC in relation to foreign judgments from being thwarted. The jurisdiction would extend to orders sought in the DIFC for disclosure of assets and other information relevant to the conduct of the foreign proceedings and enforcement of any judgment issuing from them, whether in the DIFC or in the foreign jurisdiction.

135. The Court reaches its conclusion about the jurisdiction of the CFI to issue the freezing order sought in this case by reference to the text of the 2025 Court Law. In the opinion of this Court nothing turns on the different English translations. The controlling words of Article (15)4 are "suitable precautionary measures within the DIFC". In regard to the legislative history and the public policy considerations enunciated in Carmon it would be surprising in the extreme that an inexplicable and substantial narrowing of the Court's jurisdiction and powers was to be affected by the use of the term 'providing that'. It is a connecting term, not a term limiting the subject matter of "suitable precautionary measures within the DIFC".

136. Moreover, the public policy reasons underpinning the Court's view of the jurisdiction which were enunciated at [155] in *Carmon* remain:

> "The DIFC Courts are part of a growing network of international commercial courts in a number of jurisdictions around the world. Where their jurisdiction and powers are amenable to constructions supporting the rule of law in transnational trade and commerce, such constructions should be preferred."

137. The relationship between the DIFC and the UAE Courts is apparent from Article (32) and from the broad scope of the term 'enforcement writ' defined in Article (30)B 1. The spectre of forum shopping as between the UAE Courts and the DIFC Courts was raised by the Respondents but appeared to us to be misconceived. First, if on its true construction, the 2025 Court Law gives the DIFC Court jurisdiction and power to grant the injunction and retains the Court's "conduit jurisdiction" as well-established under the preceding law, then that is an end of the matter. The offshore and onshore Courts simply have different jurisdictions, with the jurisdiction of the offshore Court augmenting that of the onshore Court. No forum shopping or comity difficulties appear to arise. Secondly, if questions of forum

shopping, comity and overlap are nonetheless capable of arising, they relate to discretion and have no relevance to this appeal which is concerned with questions of jurisdiction and power and not matters of discretion. The in terrorem spectre of the DIFC Courts somehow overriding decisions of onshore courts which are required to enforce DIFC judgments is thus illusory.

138. For the preceding reasons the appeal is allowed on Ground 1 as well as on Ground 2. Relief in relation to the interim freezing order has already been granted to the Appellants, subject to the outcome of the appeal on Ground 1, which was adjourned to enable a full hearing and final decision on the question of jurisdiction. The Court will continue the Freezing and Ancillary Orders which it made on 26 April 2025. They will obviously require modification in light of the fact that the return date has passed. Their variation and the proffering of a fresh undertaking can be remitted to the CFI.

139. The orders of the Court will be:

(1) The Appeal is allowed.

(2) The Respondents are to pay the costs of the adjourned appeal hearing on Ground 1, to be assessed by the Registrar if not agreed.

(3) The Freezing Orders originally made by the Court on 26 April 2025 are continued, but the matter of their variation to take account of the outcome of this appeal and any necessary fresh undertaking by the Appellants will be remitted to the DIFC Court of First Instance, as will the question of any outstanding costs arising out of the application for a freezing order.